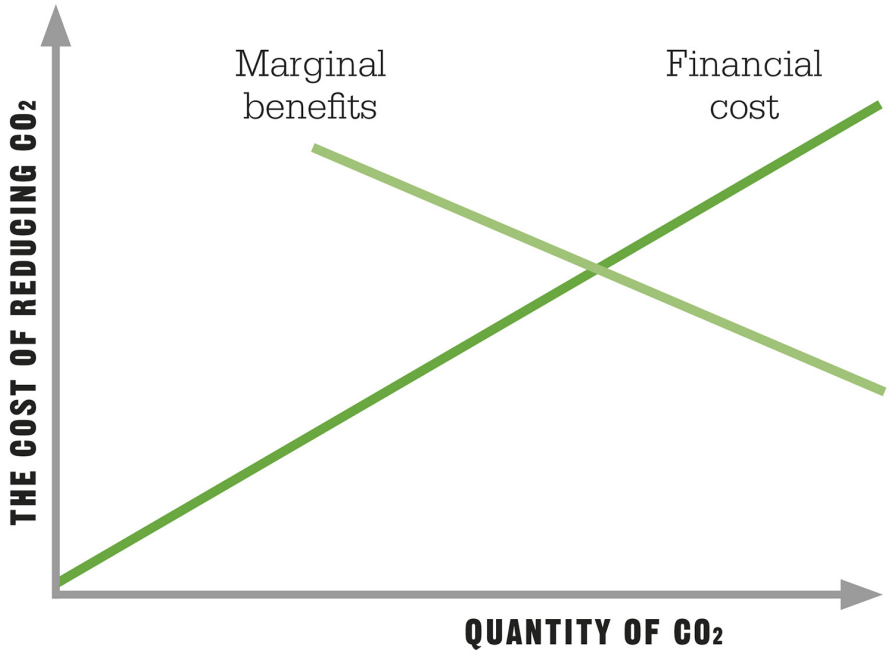
Economic models incorporate assumptions, such as the discount rate. Discount rates prioritize the present over the future, because the future cannot be predicted perfectly. The rate is selected based on how the balance between present and future priorities is weighted. Higher discount rates indicate that future populations will be wealthier, and prepared to deal with climate change. Lower discount rates suggest that the disruption caused by climate change will make people in the future poorer than we are today. Nordhaus suggests a 3 percent discount rate, meaning that if the monetary damages from climate change will be $5 trillion in the year 2100, we could invest $382 billion today to avoid it.

Analyzing the costs of reducing carbon dioxide



The cost of reducing CO_2 increases in line with the quantity, but this is offset by the benefits gained. The lines intersect at the point of equilibrium, where maximum benefits are achieved at the lowest cost.